26 August 2025

Sambhv Steel Tubes Ltd

Set to ride structural steel growth in India

PLANT VISIT UPDATE

Sector: Steel Pipes & Tubes **Rating: NR**

CMP: Rs 122 **Target Price: NA**

Stock Info

Sensex/Nifty	80,729/24,695
Bloomberg	SAMBHV IN
Equity shares (mn)	295
52-wk High/Low	149/96
Face value	Rs 10
M-Cap	Rs 36bn/ USD 0.4bn

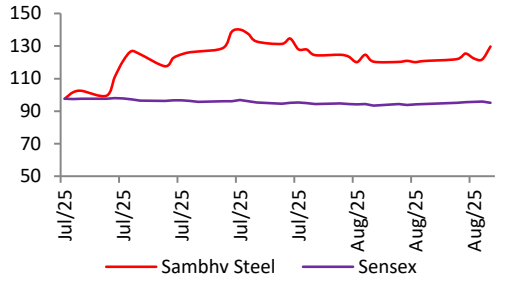
Financial Snapshot (Rs mn)

Y/E Mar	FY23	FY24	FY25
Revenue	9,372	12,858	15,114
EBITDA	1,173	1,599	1,545
PAT	604	824	573
EPS (Rs/share)	3	4	2
P/E (x)	41	32	51
EV/EBITDA (x)	35	26	26
RoE (%)	29%	19%	12%
RoCE (%)	26%	22%	15%

Shareholding Pattern (%)

	July'25
Promoter	56.1
- Pledged	
FII	3.6
DII	6.8
Others	33.4

Stock Performance (1-year)



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During our visit to Sambhv Steel Tubes' (SAMBHV IN: NOT RATED) Tilda and Kuthrel manufacturing facilities, we engaged in an insightful discussion with the company's management. SAMBHV is a manufacturer of electrical resistance welded (ERW) steel pipes, galvanized iron (GI) pipes, and stainless-steel (SS) coils. It is the only company in India with a single location backward integrated manufacturing facility. The company manufactures ERW steel pipes and tubes using narrow width hot rolled coils (HRC) produced through the induction furnace route using sponge iron and scrap steel. The company operates through two manufacturing units with total finished capacity of ~450kt. Its stainless steel coil capacity of 60kt was commissioned in 3QFY25 which produces Hot Rolled Annealed and Picked (HRAP) coils and cold rolled coils (CRC) via the IF-AOD route. Additionally, SAMBHV is setting up a greenfield facility at Kesda which would take the finished products capacity to 1.2mt. The expansions will be taken up in two phases, of which Phase I is expected to be commissioned in FY27 and Phase II by FY30. The company targets 50% contribution from the stainless-steel segment and 50% from the mild steel (MS) segment. We do not have a rating on the stock, it currently trades 54x TTM P/E.

Key takeaways from the plant visit and management meeting:

- **Manufacturing units:** The company operates integrated manufacturing set up across its Tilda and Kuthrel facilities. At the Tilda unit, it produces sponge iron, billets, HRC, MS black pipes, and SS blooms/slabs. The Kuthrel facility is engaged in the production of galvanized pipes, galvanized coils, SS HRAP coils and CRC.
- **Raw material requirement:** SAMBHV sources iron ore from NMDC and dolomite from the Mandla sector in MP for sponge iron manufacturing. Its coal requirement is met through a mix of imported coal and domestic coal sourced from South Eastern Coalfields (SECL), a subsidiary of Coal India Ltd. (COAL HOLD).
- **Manufacturing processes**
  - **MS:** Narrow strip HR coil uses sponge iron, scrap steel, and certain ferroalloys to produce billets which is then passed through rolling mills to produce MS narrow rolled strips. These narrow strips are then processed and welded into pipes.
  - **SS:** SAMBHV produces 200 series SS via the IF-AOD route, wherein SS scrap is melted along with key alloys such as nickel, chromium, and copper. SS blooms/slabs are manufactured at the Tilda facility, which are subsequently processed at the Kuthrel unit through annealing and pickling operations to produce HRAP. HRAP is further rolled in a cold rolling mill to produce CRC.

The Tilda unit hosts 25MW captive power generation capacity comprising 16MW waste heat recovery boiler (WHRB) plant and 9MW advanced biomass combustion (ABC) boiler plant. The company utilizes waste heat generated in the sponge iron unit to feed the WHRB and the byproduct dolochar feeds the ABC plant, eliminating the need for external RM sourcing to run the power plants.

Investors are advised to refer disclosures made at the end of the research report.

- **Guidance and outlook:** The management expects blended EBITDA/t to be nearly Rs 8,000/t FY26 onward upon full scale ramp up of the manufacturing units, especially the recently-commissioned stainless-steel segment that currently generates ~Rs 13,000-15,000/t EBITDA and has achieved around 75–80% utilization. GP capacity is targeted to achieve 80% utilisation this year.

- **Expansion plans:** The company will undertake expansion plans in two phases instead of three phases planned earlier, maintaining its target to reach 1.2mt finished goods capacity. Key projects aligning with this target include: 1) 450ktpa sponge iron capacity expansion at Kesda versus 360ktpa planned earlier, 2) existing stainless-steel capacity to be ramped up to 116ktpa by the end of this fiscal year which will be further expanded to 340ktpa at the Kesda plant. Management states that product mix of expansions may be altered based on demand and addressable market scenario.

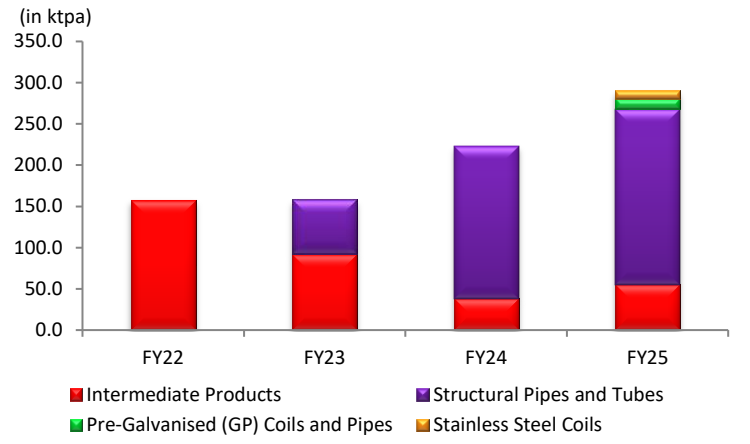
- **Capital expenditure:** The phase I capex is estimated to be around Rs 12bn, of which Rs 1.2bn has already been spent. The capex figure includes Rs 3bn towards a 70MW thermal power plant, currently being evaluated, to help meet 100% of SAMBHV's power requirement. The management is likely to fund the residual capex through a mix of nearly Rs 4bn equity and Rs 7bn debt.

- **Integration and product diversification strategy:** The company sources iron ore from NMDC for sponge iron and HRC from NMDC Steel (NSLNISP NOT RATED) for manufacturing large diameter pipes. Pipes made from outsourced HRC currently constitute 20% to total MS pipes mix, slated to increase with the commissioning of Kesda capacity. The management iterated that SS expansions will focus on coils in the near term and may be followed by pipes mostly for decorative grades and products. The company will eventually venture into the 300 series segment with the 304 grade whose addressable market is estimated at 6kt-7kt per month.

- **Market Opportunity:** Hollow section market is well penetrated globally except in India, where it is witnessing strong growth on the back of rising infrastructure activity. Demand for ERW pipes is propelled by their extensive use in infrastructure projects, with pre-engineered buildings (PEBs) emerging as a notable growth driver. In parallel, SS demand in India continues to expand, supported by improving consumer purchasing power and the material's durability, corrosion resistance, and aesthetic appeal.

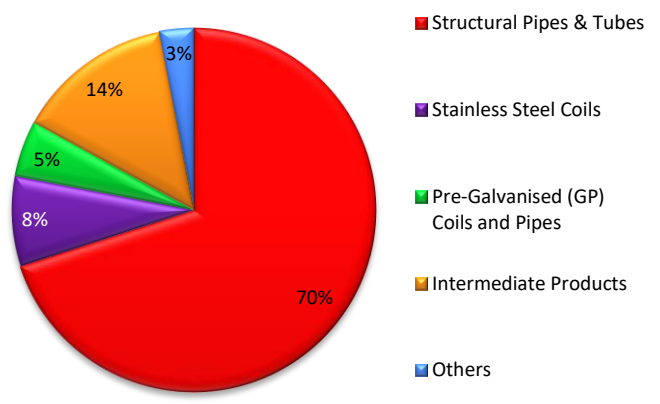
- **Customer concentration and distribution focus:** The company's topline remains moderately concentrated with top five customers accounting for ~40% of its revenue, and the largest distributor contributing ~15%. Current order delivery timelines stand at a minimum of 2-3 days; however, the company aims to compress this to 1 day by strengthening its distributor network and broadening its SKU portfolio.

Exhibit 1: Rising trend in sales volumes



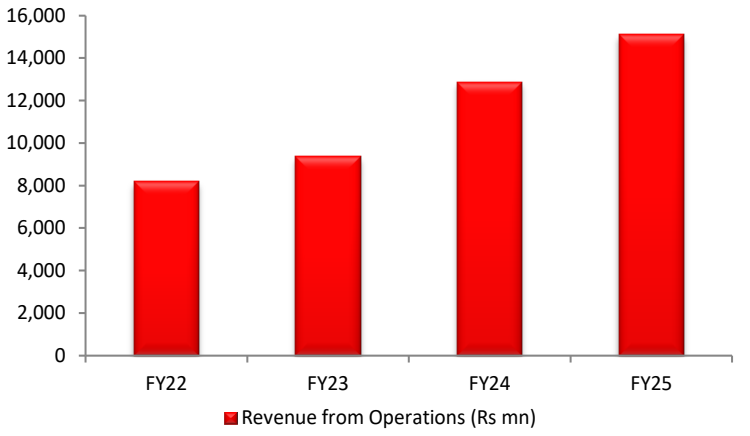
Source: Company, Systematix Institutional Research

Exhibit 2: Segment wise revenue share (FY25)



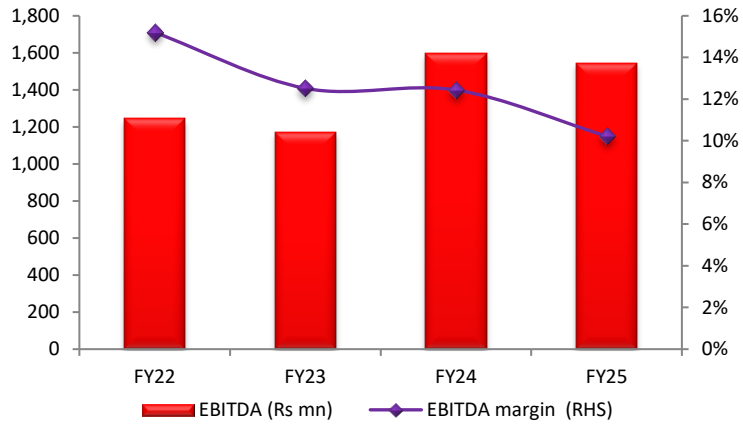
Source: Company, Systematix Institutional Research

Exhibit 3: Annual Consolidated Revenue



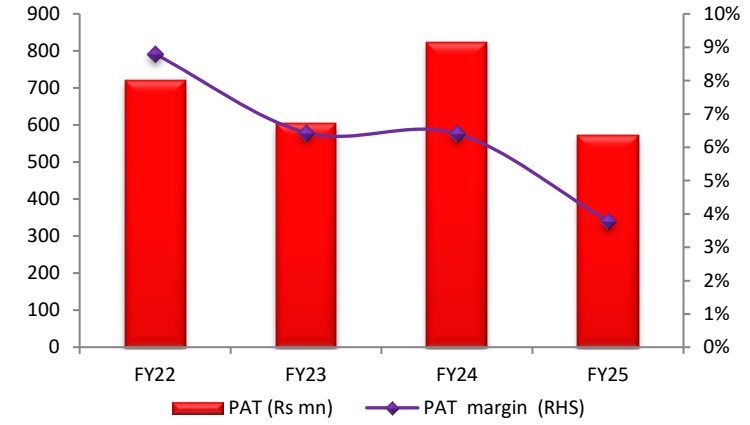
Source: Company, Systematix Institutional Research

Exhibit 4: Cons. EBITDA and EBITDA margin



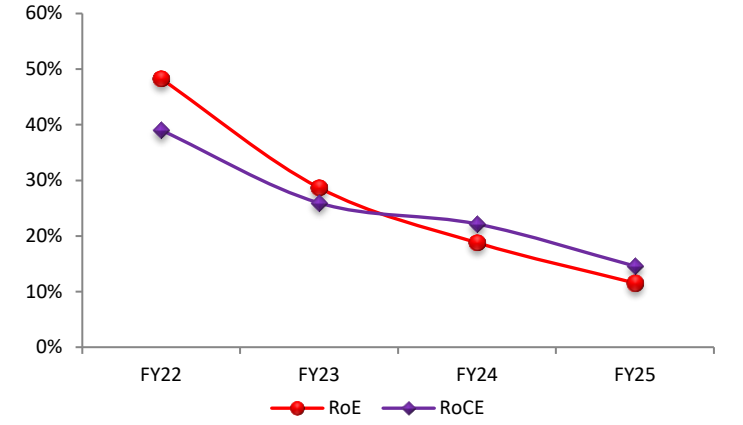
Source: Company, Systematix Institutional Research

Exhibit 5: PAT & PAT margin



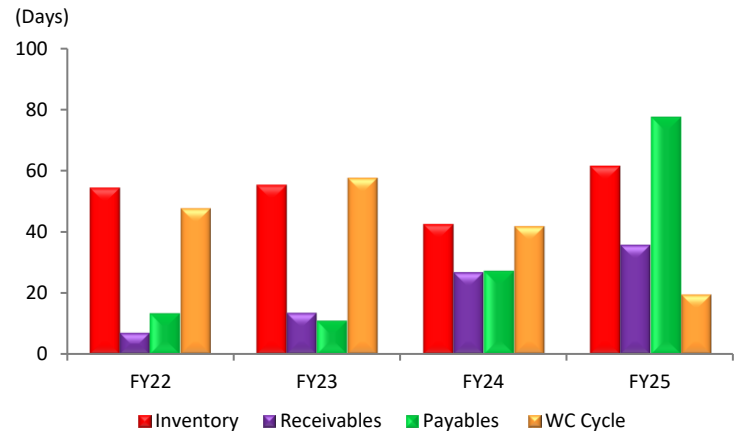
Source: Company, Systematix Institutional Research

Exhibit 6: Consolidated return ratios



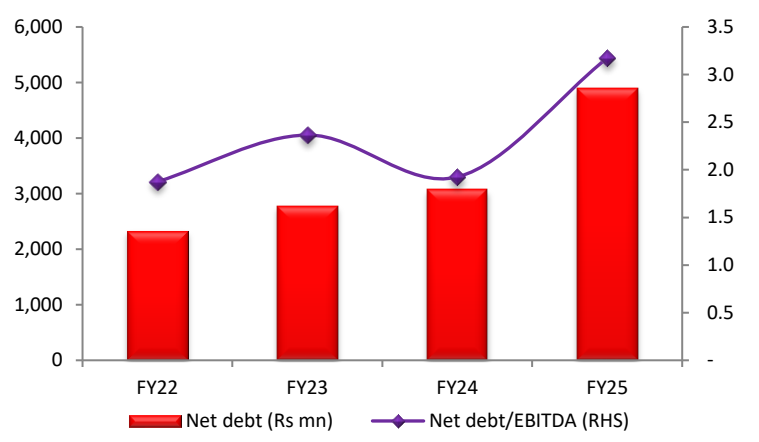
Source: Company, Systematix Institutional Research

Exhibit 7: WC cycle



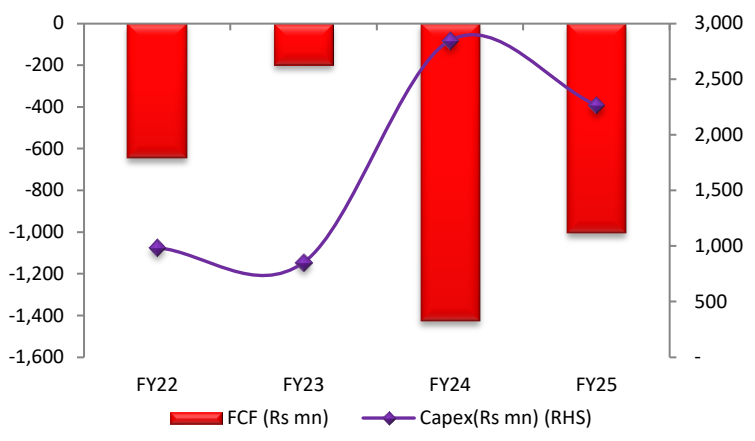
Source: Company, Systematix Institutional Research

Exhibit 8: Net Debt



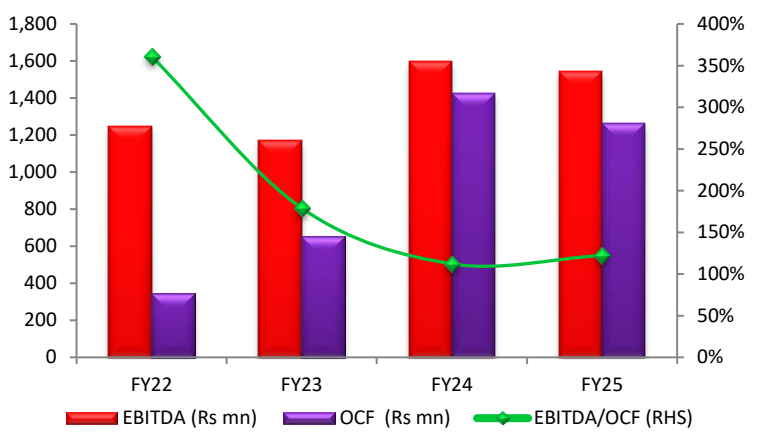
Source: Company, Systematix Institutional Research

Exhibit 9: FCF



Source: Company, Systematix Institutional Research

Exhibit 10: EBITDA to OCF conversion



Source: Company, Systematix Institutional Research

FINANCIALS (CONSOLIDATED)

Profit & Loss Statement

YE: Mar (Rs mn)	FY22	FY23	FY24	FY25
Net Sales	**8,193**	**9,372**	**12,858**	**15,114**
Expenditure	6,948	8,199	11,259	13,569
EBITDA	**1,245**	**1,173**	**1,599**	**1,545**
Depreciation	101	162	209	344
EBIT	**1,158**	**1,029**	**1,426**	**1,255**
Interest	191	218	318	473
Exceptionals	0	0	0	0
Other income	14	18	36	53
PBT	**967**	**811**	**1,108**	**782**
Taxes	246	207	283	209
PAT	**721**	**604**	**824**	**573**
EPS	3.6	3.0	3.8	2.4

Source: Company, Systematix Institutional Research

Balance Sheet

YE: Mar (Rs mn)	FY22	FY23	FY24	FY25
Equity capital	201	201	2,410	2,410
Other equity	1,292	1,903	1,973	2,543
Net worth	**1,493**	**2,104**	**4,383**	**4,953**
Debt	2,413	2,828	3,469	5,044
Non current liabilities	1,473	1,863	2,051	3,647
Current liabilities	1,619	1,555	2,967	5,445
Deferred tax liability	97	142	188	302
Total liabilities and equity	**4,585**	**5,521**	**9,401**	**14,046**
Net block	2,353	2,940	3,367	7,491
CWIP	167	215	2,156	858
Inventories	1,215	1,414	1,491	2,539
Debtors	156	346	941	1,472
Cash and bank	84	77	430	163
Total current assets	1,890	2,064	3,153	5,241
Other non current assets	115	214	571	138
Total assets	**4,585**	**5,521**	**9,401**	**14,046**

Source: Company, Systematix Institutional Research

Cash Flow

YE: Mar (Rs mn)	FY22	FY23	FY24	FY25
PBT	**967**	**811**	**1,108**	**782**
Add: Depreciation	101	162	209	344
Add: Interest income	(7)	(9)	(23)	(37)
Less: Taxes paid	(98)	(291)	(181)	(203)
Add: Interest expense	181	214	304	473
Less: WC changes	(800)	(233)	6	(99)
Total OCF	**345**	**656**	**1,424**	**1,262**
OCF w/o WC changes	1,243	1,180	1,599	1,564
Capital expenditure	(987)	(852)	(2,847)	(2,265)
Interest/Dividend Recd	6	7	11	49
Total ICF	**(1,002)**	**(849)**	**(3,116)**	**(2,332)**
Free Cash Flows	**(642)**	**(197)**	**(1,423)**	**(1,003)**
Interest paid	(176)	(217)	(326)	(525)
Proceeds from long term borrowing	288	402	159	1641
Total Financing CF	**657**	**195**	**1,766**	**1,045**
Net change in cash	(1)	1	74	(24)
Opening cash & CE	1	1	2	76
Closing cash & CE	1	2	76	52

Source: Company, Systematix Institutional Research

Ratios

YE: Mar	FY22	FY23	FY24	FY25
YoY growth in Revenue		14%	37%	18%
YoY growth in EBITDA		(6%)	36%	(3%)
YoY growth in Net income		(16%)	37%	(31%)
EBITDA margin	15%	13%	12%	10%
PAT margin	9%	6%	6%	4%
RoE	48%	29%	19%	12%
RoCE	39%	26%	22%	15%
Net debt to EBITDA (x)	1.9	2.4	1.9	3.2
Per share numbers (Rs)				
Reported earnings	3.6	3.0	3.8	2.4
Free cash	(2.2)	(0.7)	(4.8)	(3.4)
Book value	5.1	7.1	14.9	16.8
Valuations (x)				
P/E	34.0	40.5	32.2	51.3
EV/EBITDA	32.8	34.9	25.6	26.5
EV to sales	5.0	4.4	3.2	2.7
P/B	24.1	17.1	8.2	7.3

Source: Company, Systematix Institutional Research

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